

Theory 2 Changelog

This file tracks successive revisions of Theory 2 (“Extended leadership vacuum compounds execution risk — the transition itself becomes a drag”) as new evidence is reviewed. Each entry is dated and states whether the revision is materially different from prior versions.

2026-07-28 — Revision 1 (post-validation)

Context: First revision, following a validation pass against available evidence (see `work_products/issue2/theory2_validation.md` for full reasoning). No prior version of Theory 2 exists in this file, so this is the baseline entry.

Theory 2 (updated): The vacuum imposes a real, quantifiable cost and sits inside an unfavorable base rate, but the specific “paralysis and flight risk” mechanism is not yet observed in execution

What changed from the original Theory 2: The original thesis framed the seven-plus-month dual-interim structure as creating organizational drag through three linked mechanisms — ambiguous accountability, paused strategic decisions, and elevated senior-talent flight risk — that would show up in execution independent of demand-side issues. Validation against subsequently-reviewed evidence (`work_products/issue2/theory2_validation.md`) confirms that the transition carries real, measurable costs and sits inside an unfavorable structural base rate, but does not confirm the specific “paralysis” and “flight risk” mechanisms as currently operating:

- **Confirmed and strengthened — quantified cost drag:** The proxy-contest fight has a real, primary-source-quantified cost: it contributed to a 310bp SG&A deleverage in Q1 FY2026 and is guided to keep pressuring SG&A into Q2 and across full-year FY2026 (`primary_sources/1Q2026/earnings_call_transcript.md`, lines 31, 134, 144, 154). This is stronger evidence than the original theory cited — a dated, quantified, multi-quarter cost item, not just an inference that “a joint-leadership structure... is a harder governance setup.”
- **Confirmed — unfavorable base rates:** Academic research on interim-CEO periods finds underperformance driven by “limited authority... and disruption in the top management team” (Knowledge Store ID 69) — the exact mechanism Theory 2 proposes is a documented general pattern. External-hire CEO transitions in retail are separately associated with more post-hire leadership turnover and far higher use of retention grants than internal

promotions (Knowledge Store ID 74), reinforcing that lululemon’s situation carries elevated structural risk even without company-specific confirmation yet.

- **Confirmed — governance still actively contested past O’Neill’s start:** Board composition remains in motion (two director exits, two new nominees, a further product/brand-expertise seat committed for October 1, 2026 — after O’Neill’s start) and Wilson’s rejected settlement counter-proposal explicitly sought an ongoing oversight committee over the incoming CEO (Knowledge Store IDs 70, 78; fetched_docs/retaildive_lulu_wilson_spurned_settlement). — a concrete instance of an ambiguous-accountability structure being proposed, even though it was ultimately rejected.
- **Undercut — “paused strategic decisions”:** The interim co-CEOs delivered decisive, measurable operational change (SKU density down 15%, “Chase” replenishment up 20% YoY, product cycle shortened to 15–16 months), directly contradicting a paralysis narrative at the operating level (primary_sources/1Q2026/earnings_call_transcript).
- **Undercut — “elevated flight risk among senior talent”:** Frank and Maestrini, the two executives most exposed to this risk under the original theory’s logic, are explicitly expected to return to their prior roles rather than depart (Knowledge Store ID 57). The bench-thinning departures (Choe, Burgoyne) predate the interim-vacuum period and are evidence of a pre-existing thin bench, not of the vacuum itself causing new departures. No VP+ departure attributable to the interim period has occurred as of late July 2026.
- **Undercut — causal attribution of guidance cuts:** Company and analyst commentary attributes the FY2026 guidance reset to demand, product misses, and tariffs (Knowledge Store IDs 16, 76) — not to leadership-vacuum-driven decision delay. The original theory’s claim that guidance softness is “only partly attributable to demand (some to delayed decision-making)” remains unconfirmed by any source.

Updated thesis statement: The extended interim period is a real, ongoing cost center — it is adding a quantified, multi-quarter SG&A drag via proxy-contest expenses, it sits inside an unfavorable structural base rate for both interim-CEO periods and external-hire transitions generally, and board composition remains genuinely unsettled past O’Neill’s own start date. But the theory’s more distinctive internal-dysfunction claims — that the co-CEO structure itself is producing ambiguous accountability, paused decisions, and executive flight risk, as a mechanism separable from the demand problem and the proxy-contest costs already accounted for — are not yet borne out: the interim team

has executed decisively and visibly, and the two executives most exposed to flight risk are staying. The more defensible version of Theory 2 going forward is: “the transition is a real, quantifiable cost and carries elevated base-rate risk of future disruption once O’Neill arrives and inherits an already-thin bench,” not “the interim period itself is currently producing organizational paralysis or executive departures” — that second, more dramatic claim remains speculative and, on the operating evidence available, currently looks less likely than the theory originally implied.

Is this materially different from another theory in this file or theories.md?

Yes, from the original Theory 2, in the way described above (confirming the quantifiable-cost and base-rate components while substantially narrowing the “paralysis and flight risk” components). It is also distinct from the other theories currently in scope:

- The updated Theory 1 (`work_products/issue2/theory1_changelog.md`) reaches a similar “interim execution was competent” conclusion but for a different reason and with a different residual risk: it centers on an *external*, unresolved activist front (Elliott’s \$1B+ stake and rejected candidate) and an already-realized negative market verdict on the O’Neill pick itself — risks that materialize mainly around and after O’Neill’s arrival. This validation’s residual risk is different in kind: a *quantified, already-accruing* SG&A cost from the Wilson proxy fight specifically, and *structural/base-rate* risk (interim-CEO and external-hire disruption patterns) rather than a specific rejected-candidate grievance. The two updated theories are complementary, not restatements of each other: Theory 1’s update says “the pick itself was poorly received and Elliott remains unresolved”; this update says “the fight over governance has a real running cost, and the underlying mechanics of interim/external transitions are historically unfavorable, even though day-to-day execution has so far held up.”
- Original Theory 3 (deliberate strategic reset) is about what O’Neill *does* once she arrives and reads the board’s hiring choice as a deliberate change mandate. This validation does not bear on that question one way or the other — it is confined to whether the interim vacuum itself, prior to O’Neill’s arrival, has produced dysfunction. The conclusion that operating execution has been competent so far is consistent with either Theory 1’s continuity reading or Theory 3’s reset reading; it only forecloses the version of Theory 2 that requires visible near-term

paralysis or departures.

Probability assessment: See `work_products/issue2/theory2_validation.md` — Probability of the original Theory 2 (as stated in `theories.md`) being correct: 35%.